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History, Sources, and Nature of International Investment Law

ADDITIONAL READING: PT Muchlinski, *Multinational Enterprises and the Law*, 2nd edn (2007); Z Douglas, *The International Law of Investment Claims* (2009); A Newcombe and L Paradell, *Law and Practice of Investment Treaties* (2009); SW Schill, *The Multilateralization of International Investment Law* (2009); KJ Vandeveld, *Bilateral Investment Treaties: History, Policy and Interpretation* (2010); J Alvarez, *The Public International Law Regime Governing International Investment* (2011); A Kulick, *Global Public Interest in International Investment Law* (2012); A Rigo Sureda, *Investment Treaty Arbitration* (2012); K Miles, *The Origins of International Investment Law: Empire, Environment and the Safeguarding of Capital* (2013); J Bonnitcha, *Substantive Protection under Investment Treaties* (2014); A Roberts, 'Triangular Treaties: The Extent and Limits of Investment Treaty Rights' (2015) 56 *Harvard ILJ* 353; D Collins, *An Introduction to International Investment Law* (2016); C Schreuer, 'The Development of International Law by ICSID Tribunals' (2016) 31 *ICSID Rev* 728; J Bonnitcha, LNS Poulsen, and M Waibel, *The Political Economy of the Investment Treaty Regime* (2017); J Hepburn, *Domestic Law in International Investment Arbitration* (2017); C McLachlan, L Shore, and M Weiniger, *International Investment Arbitration: Substantive Principles*, 2nd edn (2017); AR Parra, *The History of ICSID*, 2nd edn (2017); M Sasson, *Substantive Law in Investment Treaty Arbitration*, 2nd edn (2017); U Kriebaum, 'Evaluating Social Benefits and Costs of Investment Treaties: Depoliticization of Investment Disputes' (2018) 33 *ICSID Rev* 14; SW Schill et al, *International Investment Law and History* (2018); T St John, *The Rise of Investor-State Arbitration: Politics, Law and Unintended Consequences* (2018); F Ortino, *The Origin and Evolution of Investment Treaty Standards* (2019); B Sabahi, N Rubins, and D Wallace, *Investor-State Arbitration* (2019); P Dumberry, *A Guide to General Principles of Law in International Investment Arbitration* (2020); JW Salacuse, *The Law of Investment Treaties*, 3rd edn (2021).

1. The history of international investment law

(a) Early developments

In 1758, Emer de Vattel addressed the status of foreigners in his treatise *The Law of Nations*.¹ He explained that once a State admitted a foreigner to its territory, which it was not obliged to do, it had to protect him or her in the same manner as its own subjects.² In addition, the foreigner maintained the bond to the home State and his or her property remained part of the wealth of the home State. As a result, an injury to the property of a foreigner was an injury to the foreigner's home State which obtained the right to exercise protection over that property, known as diplomatic protection.³

In fact, States espoused the claims of their nationals throughout the eighteenth and nineteenth centuries, and the Permanent Court of International Justice formally recognized a State's right to do so.⁴ States used economic, political, and military means to exercise diplomatic protection. This led to numerous inter-State conflicts and even military interventions referred to as gunboat diplomacy.⁵

Already the Jay Treaty of 1794⁶ provided for mixed arbitration, that is, arbitration between States and individuals. A Commission created by this Treaty decided by majority vote and produced binding awards.⁷ It served as model for future successful arbitrations.⁸

In 1818 Secretary of State John Adams emphatically highlighted the protection of alien property by the rules of international law in the context of a dispute concerning the Treaty of San Lorenzo of 1795:⁹

There is no principle of the law of nations more firmly established than that which entitles the property of strangers within the jurisdiction of another country in friendship with their own to the protection of its sovereign by all efforts in his power.¹⁰

¹ E de Vattel, *The Law of Nations*, J Chitty Translation, 1844, Book II, Chapter VIII.

² Para 104.

³ Para 109.

⁴ *The Mavrommatis Palestine Concessions (Greece v United Kingdom)*, Judgment, 30 August 1924. PCIJ Ser A, No 12, at 12.

⁵ E Borchard, *Diplomatic Protection of Citizens Abroad* (1915).

⁶ Treaty of Amity, Commerce and Navigation between His Britannic Majesty and the United States of America, 19 November 1794.

⁷ Articles VI and VII.

⁸ JI Charney, 'Is International Law Threatened by Multiple International Tribunals?' (1998) 271 *Recueil* 101, 119.

⁹ Treaty of Friendship, Limits, and Navigation Between Spain and The United States, 27 October 1795.

¹⁰ Cited in JB Moore, *A Digest of International Law*, vol 4 (1906) 5.

Until the Communist Revolution in Russia in 1917, neither State practice nor the commentators of international law had reason to pay special attention to rules protecting foreign investment. Treaty practice in the nineteenth century protected alien property not on the basis of an autonomous standard, but by reference to the domestic laws of the host State. An illustration is found in Article 2(3) of the Treaty between Switzerland and the United States of 1850:

In case of [...] expropriation for purposes of public utility, the citizens of one of the two countries, residing or established in the other, shall be placed on an equal footing with the citizens of the country in which they reside in respect to indemnities for damages they may have sustained.¹¹

The implicit assumption was that each State would in its national laws protect private property and that the extension of the domestic scheme of protection would lead to sufficient guarantees for the alien investor.

In a famous study, first published in 1868, the Argentine jurist Carlos Calvo presented a new perspective of this paradigm. He asserted that the international rule should be understood as allowing the host State to reduce the protection of alien property together with reducing the guarantees for property held by nationals.¹² Calvo's view would have left room for all the vagaries of domestic law, allowing both strong guarantees, but also a complete lack of protection. In addition, Calvo argued that foreigners must assert their rights before domestic courts and that they have no right of diplomatic protection by their home State or access to international tribunals. The Calvo doctrine, as it became known, was conceived against the background of gunboat diplomacy by capital-exporting countries and other practices through which these countries imposed their view of international law on foreign governments.

In 1902, in reaction to an armed intervention by British, German, and Italian forces in Venezuela to enforce claims related to State-bonds held by their citizens, the foreign minister of Argentina, Luis María Drago, in a letter to the United States advanced a doctrine designed to prevent such events in the future. In 1907, the Drago–Porter Convention was adopted to prevent the use of force for the collection of debt,¹³ and Calvo's radical attack on the protection of foreign citizens lost some of its justification.

On the international level, the Calvo doctrine remained at the margins of the debate, and the dominant position was that a State was bound by rules of international law, that were separate from national law. Therefore, treatment of foreigners in the

¹¹ Cited in R Wilson, *United States Commercial Treaties and International Law* (1960) 111.

¹² C Calvo, *Derecho Internacional Teórico y Práctico de Europa y América* (1868); C Calvo, *Le droit international—théorie et pratique*, vol 3 (1896) 138.

¹³ W Benedek, 'Drago–Porter Convention' (1907) *EPIL* III 234.

same way as nationals was not necessarily sufficient. Elihu Root stated the prevalent position in 1910:

There is a standard of justice, very simple, very fundamental, and of such general acceptance by all civilized countries as to form a part of the international law of the world. The condition upon which any country is entitled to measure the justice due from it to an alien by the justice which it accords to its own citizens is that its system of law and administration shall conform to this general standard. If any country's system of law and administration does not conform to that standard, although the people of the country may be content or compelled to live under it, no other country can be compelled to accept it as furnishing a satisfactory measure of treatment to its citizens.¹⁴

Nevertheless, the position proposed by Calvo was revived on a practical level in a dramatic fashion after the Russian revolution in 1917: The Soviet Union expropriated national enterprises without compensation and justified its uncompensated expropriation of alien property by relying on the national treatment standard. The ensuing dispute led, inter alia, to the *Lena Goldfields Arbitration* of 1930 in which case the Tribunal required the Soviet Union to pay compensation to the alien claimant, based upon the concept of unjust enrichment.¹⁵

A further attack upon the traditional standard of international law was mounted by Mexico in 1938 in the course of the nationalization of US interests in the Mexican agrarian and oil business. This dispute led to a forthright diplomatic exchange in which Secretary of State Cordell Hull wrote a now-famous letter to his Mexican counterpart. In this letter, he spelled out that the rules of international law allowed expropriation of foreign property, but required 'prompt, adequate and effective compensation'.¹⁶ The Mexican position echoed the Calvo doctrine and foreshadowed harsh disputes between industrialized and developing countries in later decades of post-decolonization.

(b) The emergence of an international minimum standard

The Calvo doctrine, the Russian Revolution, and the Mexican position notwithstanding, what had emerged from the various international disputes about the status of aliens in general (not just in regard to foreign investment) was a widespread sense that the alien is protected against unacceptable measures of the host

¹⁴ E Root, 'The Basis of Protection to Citizens Residing Abroad' (1910) 4 *AJIL* 517, 528.

¹⁵ VV Veeder, 'The Lena Goldfields Arbitration: The Historical Roots of Three Ideas' (1998) 47 *ICLQ* 747; A Nussbaum, 'The Arbitration between the Lena Goldfields, Ltd. and the Soviet Government' (1950) 36 *Cornell Law Rev* 31.

¹⁶ G Hackworth, *Digest of International Law*, vol 3 (1942), vol 5 (1943).

State by rules of international law which are independent of those of the host State. The sum of these rules eventually came to be known as the international minimum standard.¹⁷ The fundamental reasons that prompted the evolution and recognition of these rules are reflected in general terms in a relatively modern decision of the European Court of Human Rights:

Especially as regards a taking of property effected in the context of a social reform, there may well be good grounds for drawing a distinction between nationals and non-nationals as far as compensation is concerned. To begin with, non-nationals are more vulnerable to domestic legislation: unlike nationals, they will generally have played no part in the election or designation of its authors nor have been consulted on its adoption. Secondly, although a taking of property must always be effected in the public interest, different considerations may apply to nationals and non-nationals and there may well be legitimate reason for requiring nationals to bear a greater burden in the public interest than non-nationals.¹⁸

The minimum standard as it emerged historically, concerned the status of the alien in general, applying to such diverse areas as procedural rights in criminal law, rights before courts in general, rights in matters of civil law, and rights in regard to private property held by the foreigner. An early leading case on the subject matter, *Neer v Mexico*,¹⁹ decided in 1926, was concerned with the duty of the host State Mexico to investigate appropriately the circumstances of the unaccounted death of a US national. The widow of the US national brought her claim for compensation before a Mixed Claims Commission. The Commission issued the following statement concerning a host State's responsibility for a violation of the minimum standard:

the treatment of an alien, in order to constitute an international delinquency, should amount to an outrage, to bad faith, to willful neglect of duty, or to an insufficiency of governmental action so far short of international standards that every reasonable and impartial man would readily recognize its insufficiency.²⁰

This statement of the standard did not relate to matters of property of the alien and was issued when matters of foreign investment and related issues such as economic growth, development, good governance, and an investment-friendly climate were

¹⁷ E Borchard, *The Diplomatic Protection of Citizens Abroad* (1916); AH Roth, *The Minimum Standard of International Law Applied to Aliens* (1949).

¹⁸ *James & others v United Kingdom*, ECtHR, Judgment, 21 February 1986, para 63; see also *Lemire v Ukraine*, Award, 28 March 2011, para 57.

¹⁹ *Neer v Mexico*, 15 October 1926, 4 RIAA 60.

²⁰ At pp 61–62.

not yet high on the international agenda. Yet this case has resurfaced in decisions of investment tribunals.²¹

(c) Developments after the Second World War

The period between 1945 and 1990 saw major confrontations between the growing number of newly independent developing countries on the one hand and capital-exporting States on the other about the status of customary law governing foreign investment. The debates were often characterized by ideological positions, by an insistence on strict notions of sovereignty, and by the call for economic decolonization, including independence from centres of colonialism. A centrepiece of this debate was the call for 'Permanent Sovereignty over Natural Resources'.²² Developing States asserted these positions in the United Nations General Assembly (GA), where they soon held, and still hold, the majority of votes.

In 1962, an early confrontation ended with a compromise: GA Resolution 1803 stated that in the case of expropriation, 'appropriate compensation' would have to be paid, thus explicitly confirming neither the Hull rule nor the Calvo doctrine. Remarkably, a consensus existed then that foreign investment agreements, concluded by a government, must be observed in good faith.²³

The developing States decided to take the matter further and brought it to a culmination in 1974, again in the United Nations General Assembly. Encouraged by the success of the oil-producing countries in boycotting Western States, by sharp oil price increases, as well as by the then prevailing spirit of economic independence in Latin America, several resolutions were passed which called for a 'New International Economic Order'. One of its cornerstones was the aspiration to abolish the rules of international law governing the expropriation of alien property and to replace them by domestic rules as determined by national authorities:

Each State has the right: ... (c) To nationalize, expropriate or transfer ownership of foreign property, in which case appropriate compensation should be paid by the State adopting such measures, taking into account its relevant laws and regulations and all circumstances that the State considers pertinent. In any case where the question of compensation gives rise to a controversy, it shall be settled under

²¹ See below VIII.1(f).

²² See R Dolzer, 'Permanent Sovereignty over Natural Resources and Economic Decolonization' (1986) 7 *HRLJ* 217; K Gess 'Permanent Sovereignty over Natural Resources: An Analytical Review of the United Nations Declaration and its Genesis' (1964) 13 *ICLQ* 398; SM Schwebel 'The Story of the U.N.'s Declaration on Permanent Sovereignty over Natural Resources' (1963) 49 *ABA J* 463; C Brower and J Tepe 'The Charter of Economic Rights and Duties of States: A Reflection or Rejection of International Law?' (1975) 9 *The Int'l Lawyer* 295.

²³ UN GA Resolution 1803 (14 December 1962) para 8: 'Foreign investment agreements freely entered into by or between sovereign States shall be observed in good faith'.

the domestic law of the nationalizing State and by its tribunals, unless it is freely and mutually agreed by all States concerned that other peaceful means be sought on the basis of the sovereign equality of States and in accordance with the principle of free choice of means.²⁴

This confrontation led to insecurity about the customary international rules governing foreign investment. This phase lasted essentially until around 1990. At that time, it became clear that, together with the end of the Soviet Union, the socialist view of property had collapsed and that the call for economic independence had brought a major financial crisis, rather than more welfare upon the people of Latin America. From that time onwards, Latin American States started to conclude bilateral investment treaties (BITs) the spirit of which was at odds with the Calvo doctrine. The annual calls for 'permanent sovereignty' in the United Nations General Assembly came to an end.²⁵

At the same time, international financial institutions revised their position on the role of private investment. The so-called Washington Consensus,²⁶ with its new emphasis on the private sector in the process of development, summarized the now dominant approach to development and its concomitant positive view of private foreign investment. In 1992, the new approach crystallized in the Preamble of the World Bank's Guidelines on the Treatment of Foreign Direct Investment. It recognizes:

that a greater flow of foreign direct investment brings substantial benefits to bear on the world economy and on the economies of developing countries in particular, in terms of improving the long term efficiency of the host country through greater competition, transfer of capital, technology and managerial skills and enhancement of market access and in terms of the expansion of international trade.²⁷

Within this new climate of international economic relations, the fight of previous decades against customary rules protecting foreign investment had abruptly become anachronistic and obsolete. The tide had turned, and the new theme for capital-importing States was not to oppose classical customary law but instead to attract additional foreign investment by granting more protection to foreign investment than required by traditional customary law, now on the basis of treaties. Five

²⁴ UN GA Resolution 3281 (12 December 1974) 'Charter of Economic Rights and Duties of States' Article 2.2(c).

²⁵ See T Wälde, 'A Requiem for the "New International Economic Order"—The Rise and Fall of Paradigms in International Economic Law and a Post-Mortem with Timeless Significance', in G Hafner et al (eds) *Liber Amicorum Professor Ignaz Seidl-Hohenveldern* (1998) 771.

²⁶ See VI.2 below.

²⁷ World Bank Group, 'Guidelines on the Treatment of Foreign Direct Investment', *Legal Framework for the Treatment of Foreign Investment: Volume II: Guidelines* (1992) 35.

decades after it was formulated, the Hull rule became a standard element of hundreds of new BITs as well as multilateral agreements, such as the Energy Charter Treaty (ECT), adopted in 1994 or the North American Free Trade Agreement (NAFTA), in which Mexico decided to join the United States and Canada, also adopted in 1994. Developing countries started to conclude investment treaties among themselves, and the characteristics of these treaties did not significantly deviate from those concluded with developed States.²⁸

Since the early 1990s, the focus had shifted to the negotiation of new treaties on foreign investment, and to their application and interpretation. The elucidation of the state of customary law is no longer a central concern of academic commentators. However, the relevant issues have not disappeared. For instance, in the context of NAFTA, the three States parties decided that the standards of ‘fair and equitable treatment’ and of ‘full protection and security’ must be understood to require host States to observe customary law, and not a more demanding autonomous treaty-based standard.²⁹ In consequence, nearly forgotten arbitral decisions—mainly the *Neer* case of 1926—were unearthed. The importance of this award for the current state of customary law governing foreign investment has led to a debate on whether an old arbitral ruling addressing the duty to prosecute nationals suspected of a crime against a foreigner is the appropriate vantage point from which to develop contemporary rules governing foreign investment.³⁰

(d) The evolution of investment protection treaties

The roots of modern treaty rules on foreign investment can be traced back to 1778 when the United States and France concluded their first commercial treaty,³¹ followed in the nineteenth century by treaties between the United States and its European allies and subsequently the new Latin American States.³² After 1919, the United States negotiated a series of agreements on Friendship, Commerce, and Navigation (FCN), followed by another series of treaties between 1945 and 1966.³³ These treaties mainly addressed trade issues, but most of them also contained rules requiring compensation in case of expropriation.

Rules on investment were never prominent or distinct in these FCN treaties, even though the pre-1945 treaties contained not just compensation clauses, but also provisions on the right to establish certain types of business in the partner

²⁸ See UNCTAD, *Bilateral Investment Treaties 1995–2006: Trends in Investment Rulemaking* (2007).

²⁹ See VIII.1(f) below.

³⁰ See VIII.1(f) below.

³¹ KJ Vandeveld, *United States Investment Treaties: Policy and Practice* (1992) 14.

³² R Wilson, *United States Commercial Treaties and International Law* (1960) 2.

³³ KJ Vandeveld, ‘The Bilateral Investment Program of the United States’ (1988) 21 *Cornell Int’l LJ* 201.

State. After 1945, trade matters were regulated in separate treaties, and FCN Treaties contained more detail on foreign investment.³⁴

The era of modern BITs began in 1959 when Germany and Pakistan adopted a bilateral agreement, which entered into force in 1962. Germany had decided to pursue a programme of bilateral treaties to protect its companies' foreign investments made in accordance with the laws of the host State. Soon after Germany had launched its programme and successfully negotiated its first treaties, other European States followed suit: Switzerland concluded its first such treaty in 1961,³⁵ France in 1972.³⁶

The early treaties did not provide for direct investor–State dispute settlement, but for the submission of disputes to the International Court of Justice or ad hoc State-to-State arbitration.³⁷ Starting with the treaty between Chad and Italy of 1969, BITs began offering arbitration between host States and foreign investors.

In 1977, the United States (US) State Department launched an initiative for the United States to join the European practice of concluding agreements dealing only with foreign investment, mainly to protect investments of nationals abroad.³⁸ Following a short period of political hesitation, caused by the fear of exporting jobs by way of promoting foreign investment, and a shift of responsibility from the State Department to the United States Trade Representative during that period, between 1982 and 2021 the United States concluded 47 BITs and 70 treaties with investment provisions, mainly with developing States.³⁹

A similarly significant trend was the evolution of BIT practice by Asian States. China has concluded 124 BITs and 24 treaties with investment provisions.⁴⁰ India concluded its first BIT in 1994, but by 1999 had already entered into 26 BITs, and in 2021 was a party to 86 such treaties as well as 13 treaties with investment provisions. However, India terminated the majority of its investment treaties in order to

³⁴ JW Salacuse, 'Towards a Global Treaty on Foreign Investment: The Search for a Grand Bargain' in N Horn (ed) *Arbitrating Foreign Investment Disputes* (2004) 51, 56.

³⁵ Treaty between Switzerland and Tunisia, 2 December 1961; see N Huu-Tru, 'Le réseau suisse d'accords bilatéraux d'encouragement et de protection des investissements' (1988) 92 *Revue Générale de Droit International Public* 577.

³⁶ Treaty between France and Tunisia, 30 June 1972; see P Juillard, 'Le réseau français des conventions bilatérales d'investissement: à la recherche d'un droit perdu?' (1987) 13 *Droit et Pratique du Commerce International* 9.

³⁷ Germany–Pakistan BIT (1959) Article 11.

³⁸ For an historical appraisal of the US BIT programme see KJ Vandeveld, 'The BIT Program: A Fifteen-Year Appraisal' (1992) 86 *ASIL Proceedings* 532.

³⁹ On the BIT practice of the United States, see KJ Vandeveld, *United States Investment Treaties: Policy and Practice* (1992); KJ Vandeveld, 'A Brief History of International Investment Agreements' (2005) 12(1) *University of California Davis J Int'l L & Pol'y* 157; SM Schwebel, 'The United States 2004 Model Bilateral Investment Treaty: An Exercise in the Regressive Development of International Law' in G Aksen et al (eds) *Liber Amicorum in Honour of Robert Briner* (2005) 815; K Gugdeon, 'United States Bilateral Investment Treaties' (1986) 4 *Int'l Tax and Business Law* 105; W Dodge, 'Investor–State Dispute Settlement Between Developed Countries: Reflections on the Australia–United States Free Trade Agreement' (2006) 39 *Vanderbilt J Transn'l Law* 1.

⁴⁰ On the evolution of China's attitude towards foreign investment, see D Chow, *The Legal System of the People's Republic of China in a Nutshell* (2003) 374 et seq.

modernize its treaty program after the adoption of the Indian Model BIT in 2016. The terminations will become effective over the next years. Japan has also decided to join the practice of other OECD (Organisation for Economic Co-operation and Development) countries and by 2021 had concluded 35 investment agreements and 22 treaties with investment provisions.

More and more developing States have negotiated BITs among themselves, altogether more than 770. China and Egypt are among the States with the largest number of BITs. A comparison of treaties concluded between developing countries does not reveal significant differences to agreements concluded with developed States.

One way to explain this trend is that countries with emerging markets increasingly see themselves as potential exporters of investments and wish to protect their nationals through investment agreements. While this explanation is correct, these treaties do illustrate the broader point that home States of investors, as well as host States, are willing to conclude treaties with guarantees and mechanisms that go beyond the rules of customary law and that the underlying concern is not peculiar to traditional Western liberal States with outgoing foreign investment. The general point seems to be that home States of investors, whatever their historical background, consider specially negotiated rules desirable and that host States are willing to offer guarantees to attract investments.

(e) The quest for a multilateral framework

The first efforts to establish a multilateral treaty for the protection of foreign property go back to the post-Second World War years. In 1957, Hermann Josef Abs, a German banker, called for a 'Magna Charta for the Protection of Foreign Property'⁴¹ in the form of a global treaty. Such a treaty was meant to establish not just specific standards of protection but also a permanent arbitral tribunal charged with the application of the treaty and with the power to lay down economic sanctions against violating States, including non-signatories.

It soon became apparent that the time was not ripe for such an ambitious approach and Abs opted for a more modest multilateral initiative,⁴² in cooperation with Sir Hartley Shawcross. These efforts culminated in the Abs-Shawcross Draft, which, together with other contributions such as a Swiss draft, in 1962 led to the first attempt of the OECD, the forum of the capital-exporting countries, to prepare a multilateral treaty.⁴³ A second draft was presented in 1967. However, these

⁴¹ Speech given at the International Industrial Development Conference (San Francisco, 15 October 1957), (1957) *Recht der Internationalen Wirtschaft* 229.

⁴² The drafts for a 'Convention on Investments Abroad' were published in (1959) *Recht der Internationalen Wirtschaft* 150.

⁴³ GA van Hecke, 'Le projet de convention de l'OCDE sur la protection des biens étrangers' (1964) 68 *Revue générale de droit international public* 641.

early attempts to create a multilateral framework remained unsuccessful. This was due mainly to the fact that the draft convention was meant to apply not only to OECD member States but to all countries. Also, the OECD efforts fell into a period of great divisions between capital-importing and capital-exporting countries concerning the content of recognized principles of foreign investment law. Eventually, the OECD contented itself with merely recommending its draft as a model for bilateral investment treaties by its member States.⁴⁴ This laid the groundwork for the future investment regime characterized by the absence of a universal treaty and the dominance of bilateral treaties.

In 1961, two years after the era of bilateral treaties had begun, the World Bank took the initiative to address the emerging international legal framework of foreign investment. It pointed to its mandate and to the link between economic development, international cooperation, and private international investment. It believed that the availability of impartial and independent dispute settlement by an international tribunal would lead to an improvement of a country's investment climate. This would lead to more foreign private investment in developing countries.⁴⁵ The debates then underway in the OECD and at the United Nations indicated that the state of opinion regarding substantive rules of customary law on foreign investment was deeply divided and that the prospect of reaching a global consensus was minimal.

In the World Bank, it was the then General Counsel, Aron Broches, who initiated and advanced the ensuing debates. Given the controversies within the United Nations, Broches properly concluded that, for the time being, the best contribution the Bank could make was to develop effective procedures for the impartial settlement of disputes without attempting to seek agreement on substantive standards. This approach seemed startling since logic would dictate that any system of dispute settlement would have to be based on a set of substantive rules which could be applied. But Broches argued that, from a pragmatic point of view, such an axiomatic approach was neither necessary nor promising.

At first sight, the Broches concept 'procedure before substance' seemed limited and modest. However, he designed what was to become, in 1965, the Convention on the Settlement of Investment Disputes between States and Nationals of Other States (ICSID Convention) establishing the International Centre for Settlement of Investment Disputes (ICSID). In retrospect, the creation of ICSID amounted to the boldest innovative step in the modern history of international cooperation concerning the role and protection of foreign investment.

The success of this concept became apparent when the ICSID Convention quickly entered into force in 1966 and especially when in subsequent decades more

⁴⁴ R Dolzer and M Stevens, *Bilateral Investment Treaties* (1995) 2.

⁴⁵ Note by the President to the Executive Directors of 28 December 1961, in *History of the ICSID Convention* vol II-1 (1968) 4–6.

and more investment treaties, bilateral and multilateral, referred to ICSID as a forum for dispute settlement. From the point of view of member States, one major advantage of the system was that investment disputes would become 'depoliticised' in the sense that it avoided confrontation between home State and host State.⁴⁶ For two decades, ICSID's caseload remained quite modest. But by the 1990s, ICSID had become the main forum for the settlement of investment disputes, and Broches' vision had become a reality.

Following its earlier efforts in the 1960s towards the creation of a multilateral investment treaty, the OECD decided in 1995 to launch a new initiative in this direction. These negotiations took place from 1995 to 1998 and built, to a considerable extent, on the substance of existing bilateral treaties. The last draft for a Multilateral Agreement on Investment (MAI), dated 22 April 1998,⁴⁷ indicates major areas of consensus and some points of disagreement. Although the draft shows that the negotiations had indeed progressed to a considerable extent, the discussions were halted in 1998. Several unrelated reasons had led to the breakdown.⁴⁸ The United States had never stood fully behind the initiative: domestic political support necessary for ratification seemed uncertain; in addition, the level of protection for foreign investment foreseen in the draft appeared unsatisfactory due to a number of compromises. In Europe, France decided in the latter stage of the negotiations that an agreement might not be compatible with its desire to protect French culture ('*exception culturelle*'). Non-governmental organizations (NGOs) argued that the debates within the OECD had been held without sufficient public information and input. Also, from the beginning, there was a debate as to whether the OECD, representing mainly capital-exporting countries, was the proper forum to negotiate a treaty meant to serve as a global instrument. In the end, these different aspects converged to undermine and halt support for the negotiations within the OECD.

In a partially overlapping effort, the World Trade Organization (WTO) had already placed the issue of a multilateral investment treaty on its agenda during a meeting in Singapore in 1996, in the middle of the OECD negotiations. The WTO Agreement of 1994 had embodied a first step of the trade organization into the field of foreign investment: the so-called TRIMS Agreement⁴⁹ was to regulate those

⁴⁶ I Shihata, 'Towards a Greater Depoliticization of Investment Disputes: the Roles of ICSID and MIGA' (1986) 1 *ICSID Rev* 1; U Kriebaum, 'Evaluating Social Benefits and Costs of Investment Treaties: Depoliticization of Investment Disputes' (2018) 33 *ICSID Rev* 14.

⁴⁷ Available at: <<http://www1.oecd.org/daf/mai>>.

⁴⁸ See the contributions to (1998) 31 (3) *Cornell Int'l LJ* (symposium edition). See also Société française de droit international (ed), *Un accord multilatéral sur l'investissement: d'un forum de négociation à l'autre?* (1999); UNCTAD, *Lessons from the MAI—UNCTAD Series on Issues in International Investment Agreements* (1999); EC Nieuwenhuys and MMTA Brus (eds), *Multilateral Regulation of Investment* (2001).

⁴⁹ Agreement on Trade-Related Investment Measures (TRIMS). See generally T Brewer and S Young, 'Investment Issues at the WTO: The Architecture of Rules and the Settlement of Disputes' (1998) 1 *Journal of International Economic Law* 457; M Koulen, 'Foreign Investment in the WTO' in EC Nieuwenhuys and MMTA Brus (eds) *Multilateral Regulation of Investment* (2001) 181.

aspects of foreign investment which led to direct negative consequences on a liberalized trade regime. In particular, this Agreement regulates issues of so-called performance requirements⁵⁰ imposed by the host State upon foreign investors and aims at reducing or eliminating laws which require that local products are used in the production process by foreign investors (local content requirements). The further development of the emerging investment agenda of the WTO was addressed but not decided in 1996. In 2004, six years after the end of the OECD initiative, the efforts within the WTO to include investment issues generally into the Organization's mandate also came to a halt.⁵¹

Even though developing countries had negotiated more than a thousand BITs, they were not prepared to accept a WTO-based multilateral investment treaty. They argued that a multilateral scheme might unduly narrow their regulatory space and that the effect of such a treaty would need to be studied in greater detail. Brazil and India in particular took this position. The support of the United States for a multilateral treaty was again limited, for reasons similar as within the OECD in 1998.

(f) Recent developments

Until the early 1990s, international investment law had not produced any significant case law.⁵² In the meantime, this situation has changed dramatically. Both in the framework of the ICSID Convention and beyond, there is a veritable flood of cases that has produced and continues to produce an ever-growing case law in the field. To a large extent this dramatic increase of activity before arbitral tribunals was the direct consequence of the availability of investor-State arbitration based on a rapidly growing number of investment treaties. Inevitably, the large number of decisions produced by differently composed tribunals has led to concerns about consistency and coherence.⁵³

The success of the system of investment arbitration has also led to weariness and criticism. Some countries have found themselves in the role of respondents more often than others and perceive the need to defend themselves repeatedly against claims by foreign investors as a serious burden. At the same time, there is

⁵⁰ See VI.6 below.

⁵¹ Decision of the WTO General Council of 1 August 2004 on the Doha Agenda Work Program.

⁵² In 1970, the International Court of Justice drew attention to the slow evolution of investment law: 'Considering the important developments of the last half-century, the growth of foreign investments and the expansion of the international activities of corporations, in particular of holding companies, which are often multinational, and considering the way in which the economic interests of States have proliferated, it may at first sight appear surprising that the evolution of the law has not gone further and that no generally accepted rules in the matter have crystallized on the international plane.' *Case concerning the Barcelona Traction, Light and Power Company (Belgium v Spain)*, Judgment, 5 February 1970, ICJ Reports (1970) 3, para 89.

⁵³ See II.1(f) below.

criticism that investment law in general and investment arbitration in particular restrict the freedom of States to take regulatory action. Therefore, enthusiasm for the current system is by no means undivided. In consequence, since November 2017, the United Nations Commission on International Trade Law (UNCITRAL) Working Group III has discussed numerous reform options. These include ad hoc tribunals, and standing multilateral mechanisms, a stand-alone review or appellate mechanism, a first instance and appeal investment court as well as a multilateral advisory centre.⁵⁴

In 2009, under the Treaty of Lisbon, the European Union (EU) assumed exclusive competence for foreign direct investment. The precise scope of the competence became the subject of a controversial debate that was clarified by the Court of Justice of the European Union (CJEU) in an opinion on the Free Trade Agreement (FTA) between the EU and Singapore.⁵⁵ The outcome was that the EU has exclusive competence for foreign direct investment, and a shared competence for portfolio investment. Investor–State dispute settlement is also a competence shared between the EU and its member States. This has far-reaching potential consequences for the BITs to which member States of the EU are parties. Since roughly one-half of all BITs world-wide have at least one EU member State as a party, the future policy of the EU on investment is likely to have global repercussions. This raises questions as to both the status of BITs between member States (intra-EU BITs) and BITs of EU members with non-EU member States (extra-EU BITs).

With regard to intra-EU BITs, the European Commission wants all of these terminated and has worked actively to eliminate them. Some member States were opposed to these plans while others started terminating BITs with other EU members. The Commission received support from the CJEU which found in its *Achmea* Judgment⁵⁶ that intra-EU BITs would be incompatible with EU law. In the aftermath of *Achmea*, 23 member States signed a plurilateral treaty on 5 May 2020 to terminate their intra-EU BITs.⁵⁷ As of April 2021, less than half of the EU member States have ratified this treaty. It entered into force on 29 August 2020. Austria, Finland, and Sweden have committed themselves to terminate their intra-EU BITs bilaterally.

As for BITs with non-EU member States, EU law provides that these treaties may be maintained until a bilateral investment agreement between the EU and the same State enters into force. The European Commission wishes to gradually replace these BITs by new treaties to be negotiated by the Commission on behalf of the EU and its member States. The negotiations between the Commission and the United States on a Transatlantic Trade and Investment Partnership (TTIP) attracted much

⁵⁴ Available at: <https://uncitral.un.org/en/working_groups/3/investor-state>.

⁵⁵ CJEU Opinion 2/15, 16 May 2017.

⁵⁶ *Slovak Republic v Achmea*, Judgment, 6 March 2018, CJEU, Case C-284/16, ECLI:EU:C:2018:158.

⁵⁷ Agreement for the Termination of Bilateral Investment Treaties between the Member States of the European Union, 29 May 2020, OJ L 169/1-41.

public attention and provoked public fears and criticism about investment protection and arbitration. The treaties with Canada (the Comprehensive Economic and Trade Agreement, CETA), Viet Nam, and Singapore have been adopted but still await ratification by all EU member States. These treaties are mixed agreements, which means that both the EU and the individual member States would have to ratify them. They have a new dispute settlement system that the Commission intends to use as a model for future treaties.

The EU is currently negotiating investment agreements or investment chapters in FTAs with China, Chile, Indonesia, Philippines, Japan, and Mexico.

2. The sources of international investment law

Foreign investment law consists of general international law, of standards more specific to international economic law, and of distinct rules peculiar to the protection of investment. In addition, the law of the host State plays an important role. Depending upon the circumstances of an individual case, the interplay between relevant domestic rules of the host State and applicable rules of international law may become central to the analysis of a case.⁵⁸ The domestic rules on nationality may determine jurisdiction in a particular case. Other areas of domestic law that may become relevant in a particular case include property law, commercial law, labour law, zoning law, and tax law to name just a few.

Not only is the distinction between international law and domestic law becoming blurred by the modern regime of foreign investment law,⁵⁹ the classical separation between public and private law, as emphasized especially in Continental European legal orders, also cannot be maintained neatly in this field. The broader question whether international economic law allows for a useful distinction between private law and public law is particularly acute in foreign investment law. The rules governing contracts between an investor and a host State (see Chapter V) draw on both private and public law. In fact, these rules establish a link between domestic law and public international law. To some extent, the rules of domestic law are being confronted and superseded by rules of public international law, and in relevant international cases the decisions of arbitrators will turn on their understanding of domestic law, possibly accompanied by a process of review of domestic law under the international standards contained in treaties and in general international law.

⁵⁸ For more detail see XII.12 below.

⁵⁹ See F Orrego Vicuña, 'Of Contracts and Treaties in the Global Market' (2004) 8 *Max-Planck Yearbook of United Nations Law* 341.

What follows is a general survey of the most important sources of international investment law. More detailed discussion of the issues arising from these sources can be found in the relevant chapters of this book.

(a) The ICSID Convention

The Convention on the Settlement of Investment Disputes between States and Nationals of Other States (ICSID Convention) is a multilateral treaty. It provides a procedural framework for dispute settlement between host States and foreign investors through conciliation or arbitration.⁶⁰ The Convention does not contain substantive standards of protection for investments. Also, participation in the ICSID Convention does not amount to consent to arbitration. The process whereby consent to arbitration under the ICSID Convention is given by the host State and by the investor is described below.⁶¹

(b) Bilateral investment treaties

Bilateral investment treaties (BITs) are the most important source of contemporary international investment law. Some countries such as Germany, Switzerland, and China have each concluded well over 100 BITs with other countries. It is estimated that close to 3,000 BITs are in existence worldwide.

BITs provide guarantees for the investments of investors from one of the contracting States in the other contracting State. Traditionally, BITs are relatively short with no more than 12 to 14 articles. They typically consist of three parts.

The first part offers definitions, especially of the concepts of 'investor' and 'investment'.⁶²

The second part consists of substantive standards for the protection of investments and investors. Typically, these contain: a provision on admission of investments; a guarantee of fair and equitable treatment (FET); a guarantee of full protection and security; a guarantee against arbitrary and discriminatory treatment; a guarantee of national treatment and a guarantee of most-favoured-nation treatment (MFN clause); guarantees in case of expropriation; and guarantees concerning the free transfer of payments. These various standards and guarantees are described in some detail in Chapters VI, VII, and VIII of this book.

The third part deals with dispute settlement. Most BITs contain two separate provisions on dispute settlement. One provides for arbitration in the event of

⁶⁰ For details see XII.4(a) and XII.11 below.

⁶¹ See XII.7 below.

⁶² See Chapter III and Chapter IV below.

disputes between the host State and foreign investors (investor–State arbitration). Most BITs contain advance consent of the two States to international arbitration with investors from the other State party either before an ICSID tribunal or through some other form of arbitration. The other provision on dispute settlement in BITs provides for arbitration between the two States parties to the treaty (State–State arbitration). Whereas investor–State arbitration under BITs is very common, State–State arbitration has remained rare. The role of BITs in dispute settlement is described in Chapter XII.7(c).⁶³

The classical BITs of past decades have addressed only issues of foreign investment. More recently, there is a trend to negotiate provisions on foreign investment in the context of wider agreements, often called free trade agreements (FTAs). As the name indicates, FTAs also address trade issues. This trend seems to have started with the agreement between Canada and the United States in 1989, which formed the basis for the NAFTA concluded in 1994 between these two States and Mexico. With the recent tendency to conclude bilateral or regional trade agreements in addition to the global rules of the WTO, States have tended to conclude broad agreements on economic cooperation regionally or bilaterally, instead of agreements specifically aimed at matters of trade or foreign investment. The number of these FTAs, covering also rules on foreign investment, has increased in recent years.⁶⁴ The European Commission is negotiating FTAs with third countries,⁶⁵ containing provisions on trade as well as on investment.

Some States have formulated model treaties for their own purpose.⁶⁶ In the early days of BITs, capital-exporting States would present their model to capital-importing States as a basis for negotiations. In the meantime, developing States have gradually developed their own preferences, sometimes with their own model drafts.⁶⁷ Investment treaties have been negotiated also between developing countries. Model treaties are revised from time to time to reflect changing circumstances and priorities.

As more and more treaties were concluded, and as the international discussion on the nature and the details of these treaties has progressed, including the contours and substance of individual clauses, any argument that host States have accepted investment obligations without proper knowledge of their scope and significance has become less convincing. Investment treaties are today seen as admission tickets to international investment markets.⁶⁸ Their limiting impact on the

⁶³ See XII.7(c) below.

⁶⁴ UNCTAD, *World Investment Report* (2020) 106.

⁶⁵ See I.1(f) above.

⁶⁶ C Brown, *Commentaries on Selected Model Investment Treaties* (2013). The United States has presented a new model treaty in 2012. The first US Model Treaty was adopted in 1981. See KJ Vandeveld, 'The BIT Program: A Fifteen-Year Appraisal', in *ASIL Proceedings* (1992) 532, 536.

⁶⁷ International Institute for Sustainable Development, *Survey on Developing Country Investment Treaty Negotiations* (2019).

⁶⁸ See I.3(d) below.

sovereignty of the host State, controversial as it may be in the individual case, is a necessary corollary to the objective of creating an investment-friendly climate.⁶⁹ Nevertheless, the attitude of some developing countries to investment treaties has changed significantly. They now scrutinize these treaties more carefully for potential costs. Some countries, such as India and South Africa, have withdrawn from some of their investment treaties.⁷⁰

(c) Sectoral and regional treaties

The first multilateral treaty containing substantive rules on foreign investment is of a sectoral nature and not meant for universal membership. The Energy Charter Treaty (ECT) of 1994⁷¹ essentially grew out of the desire of European States to cooperate closely with Russia and the new States in Eastern Europe and Central Asia in exploring and developing the energy sector, which is of crucial political, economic, and financial importance for both sides. Membership was open to all States committed to the establishment of closer cooperation and an appropriate international legal framework in the energy sector.

The ECT does not just deal with investments but covers a wide range of issues such as trade, transit, energy efficiency, and dispute settlement. The chapter on investment is largely patterned along the lines of BITs concluded by the member States of the EU. Its substantive standards are similar to those contained in BITs.⁷² However, the treaty also contains some innovative features, such as special provisions concerning State entities and sub-national authorities,⁷³ and a 'best-efforts' clause concerning non-discrimination in the pre-establishment phase,⁷⁴ coupled with an expression of intent to transform it into a legally binding obligation in the future.⁷⁵

The ECT entered into force in 1998. Fifty-two States and the EU are parties to the Treaty. The Russian Federation has signed it but announced that it does not intend to become a party.⁷⁶ Italy announced its withdrawal from the ECT in 2015.

⁶⁹ R Dolzer, 'The Impact of International Investment Treaties on Domestic Administrative Law' (2005) 37 *NYU J Int'l L & Pol* 953.

⁷⁰ J Bonnitcha, NS Poulsen, and M Waibel, *The Political Economy of the Investment Treaty Regime* (2017) 21, 226, 231.

⁷¹ (1995) 34 ILM 360. See generally C Ribeiro (ed), *Investment Arbitration and the Energy Charter Treaty* (2006); T Wälde, 'Investment Arbitration under the Energy Charter Treaty' in N Horn (ed) *Arbitrating Foreign Investment Disputes* (2004) 193; R Happ, 'Dispute Settlement under the Energy Charter Treaty' (2002) 45 *German Yearbook of Int'l L* 331; T Wälde, 'International Energy Law' in JP Schneider and C Theobald (eds) *Handbuch zum Recht der Energiewirtschaft* (2003) 1129.

⁷² ECT Article 10(1) and (3).

⁷³ ECT Articles 22 and 23.

⁷⁴ ECT Article 10(2).

⁷⁵ ECT Article 10(4).

⁷⁶ On 20 August 2009, Russia officially informed the Depository of the ECT that it did not intend to become a party.

Under the ECT, investors have the right to bring a suit before ICSID, before an arbitral tribunal established under the UNCITRAL arbitration rules, before the Arbitration Institute of the Stockholm Chamber of Commerce, or before the courts or administrative tribunals of the respondent State.⁷⁷ Between 2001 and 2020, 135 investment disputes were initiated under the framework of the ECT. Due to changes in their regulatory frameworks in the renewable energy sector, member States of the EU meanwhile outnumber other States as respondents in investment arbitrations under the ECT. While earlier cases mostly concerned investments in fossil fuels, these changes have created a spike in cases related to the renewable energy sector.

Along with the general developments concerning the content of investment treaties, the ECT is also undergoing a reform process.⁷⁸ Since the *Achmea* judgment of the CJEU⁷⁹ there is uncertainty concerning the future of intra-EU investment disputes under the ECT and the enforceability of awards resulting from these disputes.

The North American Free Trade Agreement (NAFTA) between Canada, Mexico, and the United States (1994)⁸⁰ was the most frequently invoked regional treaty. It addressed trade and investment. The Treaty aimed at the free movement and liberalization of goods, services, people, and investment. The famous Chapter Eleven of NAFTA specifically addressed the treatment of investments. The objective enunciated in Article 102 was to increase substantially investment opportunities in the territories of the parties.⁸¹

Chapter Eleven on investment amounted to an innovative bold scheme inasmuch as it tied Mexico as a developing country to its two northern developed neighbours against a history replete with conflict, especially in investment matters. In its substance, Chapter Eleven built upon the treaty practice of the United States, including the treaty with Canada concluded in 1989.

The substantive obligations under NAFTA covered traditional issues such as national treatment, MFN treatment, performance requirements, transfers, and possible denial of benefits to investors owned or controlled by investors of non-NAFTA States. In actual practice, the rules on expropriation (Article 1110) and on the 'Minimum Standard of Treatment' (Article 1105) have received most attention and have led to legal disputes and public controversies. The right of the investor to file a suit against the host State was limited to breaches of the treaty's substantive

⁷⁷ ECT Article 26.

⁷⁸ C Verburg, 'Modernizing the Energy Charter Treaty: An Opportunity to Enhance Legal Certainty in Investor-State Dispute Settlement' (2019) 20 *JWIT* 425.

⁷⁹ *Slovak Republic v Achmea*, Judgment, 6 March 2018, CJEU, Case C-284/16, ECLI:EU:C:2018:158.

⁸⁰ 32 (1993) ILM 605. At the time of writing, NAFTA is in the process of being replaced by the United States–Mexico–Canada Agreement (USMCA) but remains available for investors until June 2023.

⁸¹ M Kinnear, A Bjorklund, and J Hannaford, *Investment Disputes under NAFTA* (2006); T Weiler (ed) *NAFTA Investment Law and Arbitration* (2004).

rules. The governing law was limited to the NAFTA itself and to applicable rules of international law (Article 1131(1)).

NAFTA's Chapter Eleven provided elaborate rules on dispute settlement. Article 1120 enabled an investor to bring a suit against the host State under the ICSID Convention. But for much of NAFTA's existence, only the United States was a Party to the ICSID Convention.⁸² During that time, the ICSID Additional Facility was an important choice for investors.⁸³ The third possibility open to the investor was arbitration under the UNCITRAL Arbitration Rules.

The most remarkable feature of the dispute resolution scheme in NAFTA was the fact that, although it addressed both trade and investment, it recognized the right to bring a suit against a State only for an investor but not for a trader. This dualism is now established in State practice, some divergencies and concerns notwithstanding.

NAFTA is currently in the process of being replaced by the United States–Mexico–Canada Agreement (USMCA). It was signed in November 2018 and entered into force on 1 July 2020. The USMCA provides for investor–State arbitration only between nationals of Mexico and the United States and the respective other country. Disputes between Canadian and Mexican investors and the respective other country are subject to the investment arbitration provisions of the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP). Between Canada and the United States, the only avenue for dispute settlement is the USMCA's State–State dispute settlement mechanism. There is no investor–State arbitration between Canadian and US investors and the respective other country.

Chapter 14 of the USMCA offers the usual standards of protection but claims of investors against host States are more limited than under the NAFTA. They are restricted to national treatment and MFN, except with respect to establishment or acquisition, as well as to direct expropriation (Article 14.D.3.1) and to breaches of government contracts (Annex 14-E). No claims for violation of the FET standard and for indirect expropriation are foreseen. Therefore, the USMCA offers only limited protection.

Other regional treaties providing for investment protection include the Central American Free Trade Agreement (CAFTA) of 2004 that comprises the United States and five Central American countries. The DR–CAFTA added the Dominican Republic in the same year.

Regional agreements in Asia include the Treaty of the Eurasian Economic Union, the Eurasian Investment Agreement, and the Association of Southeast Asian Nations (ASEAN) Agreement for the Promotion and Protection of Investments.

⁸² Canada became an ICSID Contracting State in 2013. Mexico in 2018.

⁸³ See XII.4(b) below.

Other regional treaties providing for investment arbitration comprise the Agreement on Promotion, Protection and Guarantee of Investments Among Member States of the Organisation of the Islamic Conference (OIC), and the Economic Community of West African States (ECOWAS).

Two investment protocols of MERCOSUR, dating from 1994, dealing with intra- and extra-MERCOSUR investments, were not in force as of April 2021. The Intra-MERCOSUR Cooperation and Facilitation Investment Protocol of 2017 (in force 2019) offers a low level of investment protection. It has a limiting definition of investment which, for example, explicitly excludes portfolio investment.⁸⁴ It does not offer protection against indirect expropriations⁸⁵ and explicitly excludes an obligation of the State to accord the investor fair and equitable treatment, full protection and security, and any protection in the pre-establishment phase.⁸⁶ It provides for corporate social responsibility obligations of investors⁸⁷ but does not offer investor–State arbitration.

A new trend is investment treaties of countries in different regions. The most important current example is the CPTPP which contains a Chapter 9 dealing with investment. The CPTPP incorporates by reference the substantive protection standards as well as the norms on investor–State arbitration of the 2016 Trans-Pacific Partnership (TPP) which never entered into force since the United States declared that it would not ratify it. It is inspired by the US Model BIT and contains the typical investment protection standards. Like in the US Model BIT, FET and full protection and security are only guaranteed in accordance with customary international law. Moreover, a mere breach of an investor's expectations resulting in loss or damage does not amount to a breach of FET. There is a detailed definition of what constitutes an indirect expropriation including an exception for *bona fide* regulations to advance public welfare objectives. Under the CPTPP, an investor may initiate investor–State arbitration on its own behalf and on behalf of an enterprise of the respondent that the claimant owns or controls directly or indirectly.

The CPTPP entered into force in 2018 among the first six countries that ratified the agreement: Canada, Australia, Japan, Mexico, New Zealand, and Singapore. In January 2019, it entered into force for Vietnam. Additional signatories are expected to ratify the CPTPP. In February 2021, the United Kingdom applied for accession.

⁸⁴ Protocol for Cooperation and Facilitation for Investments Intra-MERCOSUR, Article 3.3.1(ii).

⁸⁵ Article 6(6).

⁸⁶ Article 4(3).

⁸⁷ Article 14.

(d) Customary international law

Although treaties dominate international investment law, customary international law still plays an important role. The treaty-based rules have to be understood and interpreted, like all treaties, in the context of the general rules of international law. Article 31(3)(c) of the Vienna Convention on the Law of Treaties provides that together with the treaty's context 'any relevant rules of international law applicable in the relations between the parties' shall be taken into account.

Customary international law remains highly relevant in the practice of investment arbitration. Rules on attribution (Chapter X) and other areas of State responsibility as well as rules on damages illustrate the point. Other relevant areas of customary international law are the rules on expropriation, on denial of justice, and on the nationality of investors.

The growing case law on foreign investments has led to a situation in which some general rules of international law find their most frequent practical expression in foreign investment law. The consequence is that a full contemporary understanding of these rules requires knowledge of their interpretation and application in investment cases.

A basic doctrinal issue is the impact of the large number of bilateral investment treaties on the evolution of customary law.⁸⁸ This linkage between customary law and treaty law is particularly relevant for customary law rules regarding expropriation and compensation.⁸⁹

(e) General principles of law

General principles of law in the sense of Article 38(1)(c) of the Statute of the International Court of Justice have received increasing attention in recent practice.⁹⁰ General principles of law acquire importance especially in the case of *lacunae* in the text of treaties and in the interpretation of individual terms and phrases. In *Merrill & Ring v Canada*,⁹¹ the Tribunal said:

The Tribunal must note that general principles of law also have a role to play in this discussion. Even if the Tribunal were to accept Canada's argument to the effect that good faith, the prohibition of arbitrariness, discrimination and other questions raised in this case are not stand-alone obligations under Article 1105(1)

⁸⁸ See VIII.1(f) below.

⁸⁹ S Schwebel, 'The Reshaping of the International Law of Foreign Investment by Concordant Bilateral Investment Treaties' in S Charnovitz et al (eds) *Law in the Service of Human Dignity—Essays in Honour of Florentino Feliciano* (2005) 241.

⁹⁰ See also XII.12(b) below.

⁹¹ *Merrill & Ring v Canada*, Award, 31 March 2010.

[of NAFTA] or international law, and might not be a part of customary law either, these concepts are to a large extent the expression of general principles of law and hence also a part of international law. . . no tribunal today could be asked to ignore these basic obligations of international law.⁹²

Examples for general principles relied upon by tribunals include good faith,⁹³ *nemo auditur propriam turpitudinem allegans* (no-one can be heard, who invokes his own guilt),⁹⁴ estoppel,⁹⁵ *nullus commodum capere de sua injuria propria* (no advantage may be gained from one's own wrong),⁹⁶ *pacta sunt servanda*,⁹⁷ unjust enrichment,⁹⁸ *res judicata*,⁹⁹ and general principles of due process, including¹⁰⁰ the right to be heard.¹⁰¹

(f) Unilateral statements

The legal effect of unilateral statements and the conditions under which these may be considered binding has played a prominent role in some cases, especially in the context of the guarantee of FET.¹⁰² Here, the principle of good faith is closely tied to the operation of the principle of estoppel. The International Court of Justice and its predecessor have recognized that unilateral declarations will be binding if the circumstances and the wording of statements of a representative of the State are such that the addressees are entitled to rely on them.¹⁰³ The International Law

⁹² At para 187.

⁹³ *Sempra v Argentina*, Award, 28 September 2007, paras 290–299 (annulled on other grounds); *Phoenix v Czech Republic*, Award, 15 April 2009, paras 106–113, 142; *Cementownia v Turkey*, Award, 17 September 2009, paras 138–148; *Hamester v Ghana*, Award 18 June 2010, paras 123–124; *Renco v Peru*, Partial Award on Jurisdiction, 15 July 2016, para 175.

⁹⁴ *Rumeli v Kazakhstan*, Award, 29 July 2008, paras 310, 323; *Khan Resources v Mongolia*, Decision on Jurisdiction, 25 July 2012, para 383.

⁹⁵ *Chevron v Ecuador I*, Partial Award on the Merits, 30 March 2010, paras 334–353; *RSM v Grenada II*, Award, 10 December 2010, paras 7.1.1–7.1.3.

⁹⁶ *Occidental Petroleum v Ecuador*, Award, 5 October 2012, para 564.

⁹⁷ *Noble Ventures v Romania*, Award, 12 October 2005, para 51.

⁹⁸ *Strabag v Libya*, Award, 29 June 2020, paras 881, 899–900. See also C Binder, 'Unjust Enrichment as a General Principle of Law in Investment Arbitration' in A Gattini et al (eds) *General Principles of Law and International Investment Arbitration* (2018) 269.

⁹⁹ *Waste Management v Mexico II*, Decision on Mexico's Preliminary Objection concerning the Previous Proceedings, 26 June 2002, para 39; *Apotex v United States*, Award, 25 August 2014, para 7.11–7.66. See also P Janig and A Reinisch, 'General Principles and the Coherence of International Investment Law: of *Res Judicata*, *Lis Pendens* and the Value of Precedents' in M Andenas et al (eds) *General Principles and the Coherence of International Law* (2019) 247.

¹⁰⁰ *Amco v Indonesia*, Award, 20 November 1984, paras 199–201 and Decision on Annulment, 16 May 1986, paras 75–79.

¹⁰¹ *Fraport v Philippines I*, Decision on Annulment, 23 December 2010, paras 197–208, 218–247; *Tulip v Turkey*, Decision on Annulment, 30 December 2015, paras 80–83, 145.

¹⁰² See VIII.1 below.

¹⁰³ *Legal Status of Eastern Greenland (Denmark v Norway)*, Judgment, 5 April 1933, PCIJ Series A/B No 53, 22, 69; *Nuclear Tests Cases (Australia/New Zealand v France)*, Judgment, 20 December 1974, ICJ Reports (1974) 253, para 46.

Commission has adopted Guiding Principles applicable to unilateral declarations of States capable of creating legal obligations.¹⁰⁴

Unilateral promises may exist also in the relationship between a host State and a foreign investor.¹⁰⁵ Arbitral tribunals have so held based on the principle of good faith. In *Waste Management v Mexico*,¹⁰⁶ the Tribunal found that in applying the FET standard, 'it is relevant that the treatment is in breach of representations made by the host State which were reasonably relied on by the claimant'.¹⁰⁷

In *Total v Argentina*¹⁰⁸ the Tribunal said:

Under international law, unilateral acts, statements and conduct by States may be the source of legal obligations which the intended beneficiaries or addressees, or possibly any member of the international community, can invoke. The legal basis of that binding character appears to be only in part related to the concept of legitimate expectations—being rather akin to the principle of 'estoppel'. Both concepts may lead to the same result, namely, that of rendering the content of a unilateral declaration binding on the State that is issuing it.¹⁰⁹

Arbitral tribunals have discussed the interpretation of unilateral acts *inter alia* in the context of legislation by which a State consents to ICSID jurisdiction.¹¹⁰

(g) Case law

As explained in II.1(e),¹¹¹ tribunals are not bound by previous cases, but examine them and refer to them, frequently.

3. The nature of international investment law

International investment law does not fit easily into the traditional categories of law. It has public law aspects as well as private law aspects and therefore crosses the traditional divide made in some parts of the world separating private from public law. Also, it has international as well as national law aspects. In terms of actors, it is also peculiar in that it has private actors as well as State actors. This is an aspect

¹⁰⁴ A/CN.4/L.703.

¹⁰⁵ WM Reisman and MH Arsanjani, 'The Question of Unilateral Governmental Statements as Applicable Law in Investment Disputes' (2004) 19 *ICSID Rev* 328.

¹⁰⁶ *Waste Management v Mexico II*, Award, 30 April 2004.

¹⁰⁷ At para 98. See also below at VIII.1(g)bb.

¹⁰⁸ *Total v Argentina*, Decision on Liability, 27 December 2010.

¹⁰⁹ At para 131. Footnote omitted.

¹¹⁰ See XII.7(b) below.

¹¹¹ See II.1(e) below.

international investment law shares with human rights law except that in investment law States and investors can sue and be sued, at least in theory, whereas in human rights law States are always in the position of the respondent. Therefore, the foundation of international investment law has rightly been described as hybrid and there is no unanimity on the individual's position in the system.¹¹²

The peculiar nature of investment law has its roots in a time when individuals were mere objects of international law and had no standing before international fora. The multitude of legal instruments that shaped its formation were adopted in response to the needs that had arisen at various points in time. Often, the instruments focused either on substance or on procedure since agreement on both was not achievable at the same time. Adaptations to the system were made when necessary. Some instruments were specifically adopted for international investment law purposes. Others were adopted primarily for commercial law purposes but were later used also in the context of investment law.

Over time, international investment law developed its distinctive features that share many commonalities but did not converge into a homogeneous system with one set of substantive standards and one set of procedure. Therefore, there is no one-size-fits-all model.

This chapter highlights certain aspects that are relevant for the nature of current international investment law.

(a) Investment law and trade law

Over time, the principles governing foreign investment have developed their own distinct features within the broader realm of international economic law. Today, it is a matter of semantics whether it is appropriate to speak of the existence of a separate category of 'principles of foreign investment law', given their strong links to international economic law in general. But there is no doubt that the international law of foreign investment has become a specialized area of the legal profession and that special courses are offered on the subject in universities worldwide. The common usage and parlance in international law has always been to single out and to designate distinct fields, such as the 'laws of war', or the 'law of the sea', whenever the body of rules in any one area has become extensive and dense enough to justify special attention and study.

The nature, structure, and purpose of international investment law make it inevitable that it stands out as structurally distinct in the broader realm of international law, especially in comparison to trade. The difference between the two

¹¹² Z Douglas, 'The Hybrid Foundation of Investment Treaty Arbitration' (2003) 74 *BYIL* 152; U Kriebaum, 'The Nature of Investment Disciplines' in Z Douglas et al (eds) *The Foundations of International Investment Law* (2014) 45.

fields excludes an assumption of methodological commonalities between foreign investment law and trade law. Whenever an analogy is proposed, or a solution is transferred from one area to the other, it must be examined in detail whether their different nature is amenable to an assumption of commonality. Often, upon more detailed analysis, a concept that appears to be in common turns out to have different shades and characteristics, in view of the peculiar business nature of long-term foreign investment projects.¹¹³

(b) Balancing duties and benefits

There have been speculations relating to the reciprocity of obligations in investment treaties, to the *quid pro quo* underlying these treaties, and to the mutual benefits arising from them. These concerns arise from a common perception that treaties on foreign investment place obligations solely on the host State without corresponding commitments on the part of the foreign investor.

These concerns reflect the assumption that all types of treaties are necessarily based on reciprocity and mutuality which must be reflected in the terms of the treaty. However, the very nature of the law of aliens, which is the origin of foreign investment law, indicates that the *raison d'être* of this field of law does not reflect the traditional themes of reciprocity and mutuality but instead sets standards for the unilateral conduct of the host State. Foreign investments take place in a setting that does not correspond to a transaction or to an agreement in which privileges are exchanged on a mutual basis by two parties. Notions of mutuality and reciprocity are not absent from the regime of investment treaties but they do not operate in the same manner as in a classical agreement. Instead, they are focused on the mutual benefits of host State and investor and on the complementarity of interests flowing from the long-term commitment of resources by the foreign investor under the territorial sovereignty of the host State.

In an investment treaty, the host State deliberately renounces an element of its sovereignty in return for a new opportunity: the chance to improve its attractiveness for new foreign investments which it would not be able to acquire in the absence of a treaty. This *quid pro quo* underlying the choice on the part of the host State is based on a policy judgment the nature of which escapes precise evaluation. It is based upon assumptions about the effect of the treaty that are uncertain.¹¹⁴ As with every treaty, the acceptance of an investment treaty by a State and the determination of the desirable type and extent of obligations contained in it represent

¹¹³ See VIII. 4(f) below.

¹¹⁴ See I.3(d) below.

an exercise of the sovereign power to be made freely by each State in the light of its circumstances and preferences.¹¹⁵

Once the sovereign has committed itself to a treaty, the balancing of interests and aspirations is no longer subject to a unilateral decision. After the investment treaty is concluded, the investor is entitled to rely on the scheme accepted in the treaty by the host State as long as the treaty remains in force.

Investment treaties do not pit the interests and benefits of the host State against those of the investor. Instead, the motivation underlying such treaties assumes that the parties share a joint purpose. In this sense, it would be alien to the nature of an investment treaty to describe the interests of the host State and of the foreign investor as opposed to each other. The mode and spirit of investment treaties is to understand the two interests as complementary, held together by the joint purpose of implementing investments consistent with the business plan of the investor and the legal order of the host State.

(c) The investor's perspective: a long-term risk

Making a foreign investment is different in nature from engaging in a trade transaction. Whereas a trade deal typically consists of a one-time exchange of goods and money, an investment in a foreign country involves a long-term relationship between the investor and the host country. Often, the business plan of the investor is to sink substantial resources into the project at the outset of the investment, with the expectation of recouping this amount plus an acceptable rate of return during the subsequent period of investment, sometimes running up to 30 years or more.

A key feature in the design of such a foreign investment is to address in advance the risks inherent in such a long-term relationship, both from a business perspective and from the legal point of view. This involves identifying a business concept and a legal structure that is suitable to the implementation of the project and minimizes risks which may arise during the period of the investment. In many cases, this task is essential for the investor, as the money sunk into the project at the outset typically cannot be used subsequently elsewhere, because the machinery and installations of the project are specifically designed and tied to the particularities of the project and its location.

¹¹⁵ See the statement made by the Permanent Court of International Justice in the *Wimbledon* case: 'The Court declines to see in the conclusion of any Treaty by which a State undertakes to perform or refrain from performing a particular act an abandonment of its sovereignty. No doubt any convention creating an obligation of this kind places a restriction upon the exercise of the sovereign rights of the State, in the sense that it requires them to be exercised in a certain way. But the right of entering into international engagements is an attribute of State sovereignty.' *Wimbledon (France v Germany)*, Judgment, 17 August 1923, PCIJ Series A No 1, 25.

The dynamics in the relationship between the host State and the investor differ in nature before and after the investment has been made. Larger projects are typically not made under the general laws of the host country; instead, the host State and the foreign investor negotiate a deal—an investment agreement—which may adapt the general legal regime of the host country to the project-specific needs and preferences of both sides. During these negotiations, the investor will seek legal and other guarantees geared to the nature and the length of the project. Considerations will include bilateral or multilateral treaties concluded by the host State which will provide guarantees on the level of international law. If the host State is keen to attract the investment, the investor may be in the driver's seat during these negotiations.

The investor will normally bear the commercial risks inherent in possible changes in the market of the project, for example new competitors, price volatilities, exchange rates, or changes affecting the financial setting. In certain transactions, provision will be made for adaptation or renegotiation in the event of a change in the economic and financial context of the project. The political risks, that is, the risks inherent in a future intervention of the host State in the legal design of the project, will typically be addressed during these initial negotiations. Unless these risks are appropriately addressed in an applicable investment treaty, the investor may ask for assurances on a number of points, such as the applicable law, the tax regime, provisions dealing with inflation, a duty of the host State to buy a certain volume of the product (especially in the field of energy production), the future pricing of the investor's product or a customs regulation for materials needed for the product, and especially an agreement on future dispute settlement. These terms may be included in an investment contract between the investor and the host State.

Once negotiations are concluded and the investor's resources are sunk into the project, the dynamics of influence and power tend to shift in favour of the host State. The central political risk which henceforth arises for the foreign investor lies in a change of position of the host government that alters the balance of burdens, risks, and benefits which the two sides laid down when they negotiated the deal and which formed the basis of the investor's business plan and the legitimate expectations embodied in this plan. Such a change of position on the part of the host country becomes more likely with every subsequent change of government in the host State during the period of the investment.

(d) The host State's perspective: attracting foreign investment

It is reasonable to assume that the object and purpose of investment treaties is closely tied to the desirability of foreign investments, to the benefits for the host State and for the investor, to the conditions necessary for the promotion of foreign investment, and to the removal of obstacles which may stand in the way of allowing

and channelling more foreign investment into host States. Thus, the purpose of investment treaties is to address the typical risks of a long-term investment project, and thereby to provide stability and predictability in the sense of an investment-friendly climate.

Under the rules of customary international law, no State is under an obligation to admit foreign investment in its territory, either generally or in any particular segment of its economy. While the right to exclude and to regulate foreign investment is an expression of State sovereignty, the power to conclude investment protection treaties with other States can also be seen as flowing from the same concept.

Once a host State has admitted a foreign investment, it must respect a minimum standard of customary international law.¹¹⁶ Modern treaties on foreign investment go beyond this minimum standard of obligations that a host State owes foreign investors. Whether such treaties in general, or any particular version of them, are beneficial to the host State, remains a matter for each State to decide. Each State will weigh, or at least has the power to weigh, the economic and financial benefits of a treaty-based promotion of foreign investments against the burden of being bound to the standards of protection laid down in the treaty. Since investment decisions are based on a multitude of factors, it is difficult to undertake an objective assessment of the costs and benefits of treaties protecting foreign investments. Each State exercises its sovereign prerogative in determining its preferences and priorities when deciding whether to conclude an investment treaty.

There is an ongoing debate over the impact of foreign investment treaties on the promotion of foreign investment and its geographic distribution. Empirical studies on the relevance of investment protection treaties for an increase in foreign investment are contradictory.¹¹⁷ Legal security in a host country for an investment project is one of several factors that will influence an investment decision, but the driving parameters are determined not by legal but by economic considerations. Therefore, an argument that international legal protection would in itself prompt an increased flow of foreign investment is unrealistic. On the other hand, globalization has led to fairly accurate real time information about economic and legal conditions around the globe, and the lack of legal stability surrounding a potential investment in a particular country may prevent a positive decision on the part of the investor. The perception of a sufficient degree of legal stability for a project and of a good investment climate in a State, will be one of several factors in the decision to make a new investment but will not by itself serve as the decisive incentive for

¹¹⁶ See I.1(b) above and VIII.1(f) below.

¹¹⁷ E Neumayr and L Spess, 'Do Bilateral Investment Treaties Increase Foreign Direct Investment to Developing Countries?' (2005) 33 *World Development* 1567; Z Elkins, A Guzman, and B Simmons, 'Competing for Capital: The Diffusion of Bilateral Investment Treaties, 1960–2000', *Berkeley Program in Law and Economics, Annual Papers* (2006); M Hallward-Driemeyer, 'Do Bilateral Investment Treaties Attract Foreign Investment?' *World Bank Policy Research Working Paper No 3121*; K Sauvant and L Sachs (eds), *The Effect of Treaties on Foreign Direct Investment* (2009); OECD Secretariat, *Societal Benefits and Costs of International Investment Agreements* (2018).

potential foreign investors.¹¹⁸ Moreover, the perceived risk of investing in a particular country will determine the profit margin expected by the investor. High-risk investments may well be undertaken but will require a higher rate of return for the investor.

Another major advantage of treaties for the protection of investments, and of investment arbitration in particular, is that investment disputes become ‘depoliticised’. This means that they remove the dispute from the foreign policy agenda of the investor’s home State, thereby avoiding political confrontation between home State and host State.¹¹⁹ In other words, the dispute is moved from the political inter-State arena into the judicial arena of investment arbitration. From the host State’s perspective, facing an investor before an arbitral tribunal is a lesser evil compared to being exposed to the pressure of a powerful State or the European Commission.

(e) International investment law and sovereign regulation

The international law of foreign investment may be seen as a body of international rules of administrative law governing the relationship of the foreign investor and the host State.¹²⁰ The rules on foreign investment can reach far into segments of domestic law that traditionally belong to the ‘*domaine réservé*’ of each host country. This has led to concerns not just about the preservation of national sovereignty but also about the democratic legitimacy of the process by which foreign investment law is developed and applied.

These concerns have been voiced not only by developing countries as recipients of foreign investments; the same observation has been made by segments of civil society in developed countries. In the United States, this was the case after it had become party to the NAFTA and a respondent in several cases.

In Europe, the discussion arose after the EU Commission had announced that it would negotiate an FTA with an investment chapter with the United States, known as TTIP. The debate spilled over into matters of investment protection and

¹¹⁸ In 2006, the OECD adopted a Policy Framework for Investment that was updated in 2015. It has a focus on 12 policy areas which determine the degree to which a country is investment friendly: investment policy; investment promotion and facilitation; trade policy; competition policy; tax policy; corporate policy; policies for enabling responsible business conduct; developing human resources for investment; investment in infrastructure; financing investment; public governance; investment framework for green growth. See OECD, *Policy Framework for Investment* (2015).

¹¹⁹ I Shihata, ‘Towards a Greater Depoliticization of Investment Disputes: the Roles of ICSID and MIGA’ in *The World Bank in A Changing World* (1991) 309; The *travaux préparatoires* to the ICSID Convention explicitly mention this goal: *History of the ICSID Convention* vol II-1 (1968) 236 at 242; C Schreuer, ‘Investment Protection and International Relations’ in A Reinisch and U Kriebaum (eds) *The Law of International Relations—Liber Amicorum Hanspeter Neuhold* (2007) 345; U Kriebaum, ‘Evaluating Social Benefits and Costs of Investment Treaties: Depoliticization of Investment Disputes’ (2018) 33 *ICSID Rev* 14. See also *Ecuador v United States*, Award, 29 September 2012, para 201.

¹²⁰ S Schill, *International Investment Law and Comparative Public Law* (2010).

arbitration in general. It had a strong influence on investment protection clauses in treaties negotiated by the EU. The debate led to the inclusion of an explicit right to regulate even though investment tribunals had never called that right into question. It also led to the concretization of certain protection standards like FET and to the inclusion of transparency provisions.¹²¹ In addition, it triggered the move to change the dispute settlement system through the introduction of a court system either in addition to or instead of the current arbitration system.

A traditional understanding of sovereignty, detached from current international economic realities, may lead to the view that the international rules on foreign investment reach or even cross acceptable boundaries.¹²² The rules on foreign investment touch upon domestic regulations as diverse as labour law, the organization of the judiciary, administrative principles, environmental law, health law, and, of course, rules governing property.

Modern trade law also affects domestic matters, but the impact of investment law on domestic law, and thus the potential concern for national sovereignty, is more severe. At the same time, economic literature has emphasized that openness of an economic system to foreign competition is among the factors that contribute to economic growth and to good governance in general. Thus, investment law embodies and represents economic globalization, with the potential advantages of economic efficiency and a higher standard of living, at the cost of a reduced legal power of national authorities to regulate areas that have an impact on foreign investment.¹²³ The current trend is a shift back towards national regulation, through the introduction of regulation exceptions, general exception clauses, and limiting language in clauses defining protection standards.¹²⁴

(f) International investment law and good governance

The concept of good governance has increasingly influenced the international development agenda.¹²⁵ Earlier periods of development practice after 1945 had focused first on the significance of important individual projects and then on the role of macroeconomic policies. The new thinking, along with empirical studies, highlight the fact that all projects and policies depend in their implementation and,

¹²¹ See also XII.11(j) below.

¹²² In response to these concerns the United States has decided to opt for a treaty model that spells out definitions in great detail, so as to render arbitral decisions more predictable and to reduce the power of arbitrators. The EU follows this approach and has opted for closely defined standards, regulation exceptions, and a modified system of dispute settlement in the treaties it has negotiated.

¹²³ On the power of the host State to control multinational enterprises in general, see C Wallace, *The Multinational Enterprise and Legal Control—Host State Sovereignty in an Era of Economic Globalization* (2002).

¹²⁴ See eg CETA Articles 8.9, 28.3, 28.6, Annex 8-A (3).

¹²⁵ R Dolzer, M Herdegen, and B Vogel, *Good Governance* (2007).

indeed, in their conception and formulation, on a functioning State, especially on functioning institutions.

As a consequence, the concept of good governance has moved to the centre of international aid and poverty reduction policies. The first coherent formulation of the concept seems to be contained in a World Bank report written on the development challenges for Sub-Saharan Africa in 1989.¹²⁶ There is no single definition of good governance, but the core elements are expressed in working documents of the World Bank¹²⁷ and the International Monetary Fund.¹²⁸ The treaty between the European Community and African, Caribbean, and Pacific States adopted in 2000, the so-called Cotonou Agreement, offers the following definition:

In the context of a political and institutional environment that upholds human rights, democratic principles and the rule of law, good governance is the transparent and accountable management of human, natural, economic and financial resources for the purposes of equitable and sustainable development. It entails clear decision-making procedures at the level of public authorities, transparent and accountable institutions, the primacy of law in the management and distribution of resources and capacity building for elaborating and implementing measures aiming in particular at preventing and combating corruption.¹²⁹

The origin of the concept of good governance falls into the same period as the formulation of the Washington Consensus¹³⁰ and the beginning of the wave of investment treaties of the 1990s. The common core of the policies embodied in investment treaties, in the Washington Consensus, and the principle of good governance lies in the recognition that institutional effectiveness, the rule of law, and an appropriate degree of stability and predictability of policies form the governmental framework for domestic economic growth and for the willingness of foreign investors to enter the domestic market. Many investment protection standards as interpreted by arbitral tribunals contain typical rule of law requirements. Therefore, investment treaties provide for external constraints and disciplines which foster and reinforce values similar to the principle of good governance with its emphasis on domestic institutions and policies.

¹²⁶ World Bank (ed), *Sub-Saharan Africa: From Crisis to Sustainable Growth* (1989).

¹²⁷ World Bank (ed), *Governance: The World Bank's Experience* (1994) 12. See also S Killinger, *The World Bank's Non-Political Mandate* (2003).

¹²⁸ IMF (ed), *Good Governance—The IMF's Role* (1997).

¹²⁹ Cotonou Agreement, Article 9(3). See also P Hilpold, 'EU Development Cooperation at a Crossroad: The Cotonou Agreement of 23 June 2000 and the Principle of Good Governance' (2002) 7 *Eur Foreign Aff Rev* 53.

¹³⁰ See I.1(c) above, VI.2 below.

(g) Obligations for investors

BITs give guarantees to investors but do not normally address obligations of investors, although many BITs provide that to be protected, investments must be in accordance with host State law.¹³¹

There is a debate on the inclusion in investment treaties of obligations of the foreign investor to observe certain human rights, environmental, or labour standards and on the possibility for host States to pursue counterclaims.¹³² This would be in line with the idea of corporate responsibility reflected in the OECD Guidelines for Multinational Enterprises, adopted in 1976 and last updated in 2011, together with other efforts to promote voluntary initiatives for standards of corporate social responsibility.¹³³

Within the United Nations, efforts to agree on non-binding rules broke down together with the negotiations on a multilateral treaty on foreign investment. An attempt to draw up a Code of Conduct on Transnational Corporations was made between 1977 and 1992 but was abandoned.¹³⁴

The OECD Guidelines for Multinational Enterprises, which are part of the broader OECD Declaration on International Investment and Multinational Enterprises, constitute non-binding recommendations to multinational enterprises in areas such as employment, human rights, environment, the fight against bribery, science and technology, competition, taxation, information disclosure, and consumer interests. Within the administration of the adhering governments, so-called National Contact Points are charged with the promotion of the Guidelines and the handling of enquiries about their application. All OECD member countries as well as nine non-member States have so far adhered to the OECD Guidelines.

In 2003, a group of international banks launched an initiative for a framework addressing environmental and social risks in project financing.¹³⁵ The so-called Equator Principles are intended to apply to all project financings with total project capital costs of over US\$10 million and require, *inter alia*, social and environmental assessment procedures and consultation, disclosure and monitoring mechanisms. For the applicable standards, the principles refer to various World

¹³¹ See IV.8(c) below.

¹³² H Mann et al, *IISD Model International Agreement on Investment for Sustainable Development* (2005); U Kriebaum, 'Privatizing Human Rights. The Interface between International Investment Protection and Human Rights' in A Reinisch and U Kriebaum (eds) *The Law of International Relations—Liber Amicorum Hanspeter Neuhold* (2007) 165.

¹³³ For a survey, see UNCTAD, *World Investment Report* (2011) 111. See also A Heinemann, 'Business Enterprises in Public International Law' in U Fastenrath et al (eds) *From Bilateralism to Community Interest: Essays in Honour of Judge Bruno Simma* (2011) 718.

¹³⁴ Draft UN Code of Conduct on Transnational Corporations (1984) 23 ILM 626.

¹³⁵ S Kass and J McCarroll, 'The Revised Equator Principles' (2006) *The New York LJ*, 1 September 2006; A Hardenbrook, 'The Equator Principles: The Private Financial Sector's Attempt at Environmental Responsibility' (2007) 40 *Vanderbilt J Transn'l L* 197.

Bank and International Finance Corporation (IFC) guidelines. Over 76 financial institutions have so far adopted the Equator Principles.

An effort to approach investment issues from the vantage point of human rights was made in the United Nations after 2000. The aim was to find a consensus on norms addressing responsibilities of transnational corporations.¹³⁶ In 2005, the United Nations named a Special Representative for human rights and transnational corporations and other business entities, tasked with 'identifying and clarifying standards of corporate responsibility and accountability with regard to human rights'. In 2011, the Special Representative prepared a Report on 'Guiding Principles on Business and Human Rights: Implementing the UN Protect, Respect and Remedy Framework'. It built on major research and extensive consultations with all relevant stakeholders. The Human Rights Council endorsed the Guiding Principles and established a Working Group on the issue of human rights and transnational corporations and other business enterprises to disseminate and implement them.¹³⁷ The Human Rights Council established an open-ended inter-governmental working group on transnational corporations and other business enterprises with respect to human rights in 2014.¹³⁸ It was mandated with elaborating an international legally binding instrument on transnational corporations and other business enterprises with respect to human rights. In 2020, the inter-governmental working group published a second revised draft. So far, no binding instrument has been adopted.

In 2019, a drafting team led by Judge Bruno Simma presented the Hague Rules on Business and Human Rights Arbitration.¹³⁹ One of the ideas of the Hague Rules is to close a remedial gap for individuals affected by business activities that impact their human rights. Under the Hague Rules, it is possible to resolve disputes in situations where more traditional remedies, such as judicial proceedings, are not available or not effective. This will often be the case in situations where foreign investments negatively affect the local population and where local legal remedies do not offer proper protection.

¹³⁶ D Weissbrodt and M Kruger, 'Norms on the Responsibilities of Transnational Corporations and Other Business Enterprises with Regard to Human Rights' (2003) 97 *AJIL* 901.

¹³⁷ Res A/HRC/RES/17/4.

¹³⁸ Res A/HRC/RES/26/9.

¹³⁹ Available at: <https://www.cilc.nl/cms/wp-content/uploads/2019/12/The-Hague-Rules-on-Business-and-Human-Rights-Arbitration_CILC-digital-version.pdf>.